



Rate, cost-to-serve and capital memorandum

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Owner: ARU Controller / Director Industrial Operations | **Decision cutoff:** September 5, 2026 (America/Los_Angeles)

Record origin: User-authorized fictional case implementation, derived from controlled handoff and explicitly labeled engineering assumptions. Official sources establish external context only; they do not verify fictional assets, transactions, operating events or professional approvals. References observed September 6, 2026 UTC / September 5 PDT unless the pinned source manifest records an earlier acquisition.

The normalized derived ARU-group rate book earns **\$583,480 revenue**, incurs **\$332,190 variable operating cost** and **\$48,000 fixed incremental cost**, producing **\$203,290 incremental EBITDA**. These are source-derived results for 215 billable cars. The ten contingency slots are not billed. They differ from the prior \$875,000/\$365,000 planning anchors by \$291,520 and \$161,710 respectively; those anchors were not forced into the new model.

Each commodity has separate BS&T rail, Taylor terminal and truck-leg charges. Acid is \$950 rail, \$700 terminal and four road legs at \$340; binder is \$850/\$400/four at \$285; lime is \$850/\$450/four at \$300; steel is \$950/\$650/three at \$375; MRO is \$750/\$500/two at \$325; projects are \$1,400/\$1,400/two at \$900. These are **synthetic cost-derived quotations**, not represented as observed market tariffs or contracts with actual carriers.

External origin-to-Wamsutter linehaul is a separate direct Red Wash cost. The provisional origin-dependent allowances in the source are excluded from ARU revenue. The source does not claim that an unspecified origin and commodity can obtain those rates from Union Pacific. A genuine carrier quote, routing, accessorial and credit terms would be required for a real commercial movement. The finance model preserves this distinction rather than counting third-party transport as ARU earnings.

Road costs start with nine miles each way, 5 mpg loaded and 6 mpg empty, a \$4.10/gallon planning diesel input, \$48/hour burdened labor and \$36/hour equipment cost. Cycle time includes loading, transfer, inspection, return and documentation: 2.3 hours for acid, 1.65 binder, 1.75 lime, 2.35 steel, two MRO and 6.5 for quoted project work. Declared commodity-specific costs add cleaning, consumables, insurance or specialist handling and round upward. The executable validation checks that each selected trip cost covers its drivers. These dollar assumptions are transparent planning inputs; a current-market claim is not made without a market observation.

Rail cost is allocated road-train duty plus switching/inspection; terminal cost splits labor from equipment, energy and control costs. The source exposes every component and avoids double-counting the road trip as both an external carrier charge and an ARU charge. Fixed annual cost allocates \$12,000 to rail, \$24,000 to terminal and \$12,000 to trucking. Underlying drivers are \$24,000 standby labor, \$8,000 insurance, \$8,000 maintenance and \$8,000 compliance. The 2026 ramp bears six months of fixed cost plus a separate \$20,000 June commissioning operating expense.

The five-year intercompany agreement retains annual price review, cause-assigned demurrage, explicit free-time terms, external-carrier rights, no minimum volume guarantee and no preference that harms outside customers. A material input-cost movement triggers repricing and comparison with qualified external service. A higher margin in a particular commodity does not prove market support; the permanent outside-carrier right and annual review are substantive checks on intercompany pricing. ARU revenue and Red Wash expense eliminate in Sable Harbor consolidation while underlying external costs remain.

Phase 1 is exactly **\$8.5 million**, allocated **\$3.25 million to Red Wash** and **\$5.25 million to reusable ARU assets**. Mine assets cover acid storage/containment, binder storage, existing road rehabilitation, scales, emergency controls, receiving and engineering/contingency. ARU assets cover two ten-car general tracks, one six-car liquid track, acid transfer, hardstand, warehouse interface, trailers/transfer equipment, custody controls and engineering/contingency.

The five February–June spend tranches are an explicit 20%-per-month case schedule; in-service date is July 7. Commissioning operating expense is separate from capital.

The full \$8.5 million cannot be justified by \$203,290 incremental annual EBITDA alone. The simple ratio is about 2.39% before tax and sustaining capital, not a project IRR. Reusable Taylor capital must earn returns across the outside customer book; mine-specific inventory resilience and external-carrier alternatives need their own decision case. The remaining \$6.5 million of the \$15 million ceiling is unapproved. It is not booked spend, a hidden synergy commitment or authority for a mine spur.

ARU's separate \$11 million catch-up program ties to the physical register: \$3.4 million track/ties/surfacing, \$1.2 million structures/drainage, \$1.8 million locomotives, \$0.8 million yard/shop, \$1 million environment/stormwater, \$1.2 million trucks, \$0.8 million terminal/warehouse equipment, \$0.5 million dispatch/IT and \$0.3 million contingency. Four rail bridges and 20 culverts tie exactly to \$1.2 million; the four locomotive allocations tie to \$1.8 million. Six tractor replacement slots tie to \$1.2 million. This program is distinct from sustaining capital, acquisition consideration and the interface.

The \$11 million catch-up program follows the finance cash schedule: ten equal February–November 2026 tranches, giving quarterly shares of 20%, 30%, 30% and 20%. Tranches after the decision cutoff remain forecast. Heavy locomotive overhauls and bulk track/drainage work use funded specialist contractors; the ordinary eight mechanical and ten MOW employees retain inspection, maintenance, protection and acceptance duties. The two road locomotives are never both removed for overhaul concurrently. Truck replacement is one for one and does not silently increase the 18-tractor operating fleet.